ANNUAL OPERATING BUDGET

Westgate Homes | Naperville, IL

Property	Westgate Homes
Fiscal Year	2020
Submitted By	Lumen Residential Services
Submitted	January 16, 2022

Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$217,117	$231,043	$237,152	$20,035	9.2%	$2,664.63
5010 Loss to Lease	$181,531	$186,932	$195,385	$13,854	7.6%	$2,195.33
5020 Vacancy Loss	$186,580	$181,784	$187,456	$876	0.5%	$2,106.25
5030 Concessions	$203,818	$194,008	$198,344	-$5,474	-2.7%	$2,228.59
5040 Bad Debt	$71,111	$69,618	$73,639	$2,529	3.6%	$827.41
5050 Late Fees	$250,983	$269,844	$286,012	$35,030	14.0%	$3,213.62
5060 Utility Reimbursements	$76,566	$80,213	$84,745	$8,180	10.7%	$952.19
5070 Parking Income	$217,179	$221,750	$228,093	$10,913	5.0%	$2,562.84
5080 Application Fees	$23,186	$24,555	$25,122	$1,936	8.4%	$282.27
5090 Pet Rent	$82,061	$83,165	$85,965	$3,904	4.8%	$965.90
5100 Laundry Income	$12,259	$12,428	$12,582	$323	2.6%	$141.37
5110 Cable/Internet Revenue	$225,539	$238,141	$250,836	$25,296	11.2%	$2,818.38
5120 CAM Reimbursements	$187,446	$181,546	$184,494	-$2,951	-1.6%	$2,072.97
5130 Tax Reimbursements	$103,776	$110,714	$113,276	$9,500	9.2%	$1,272.76
5140 Insurance Reimbursements	$170,589	$168,547	$173,317	$2,728	1.6%	$1,947.38
5150 Percentage Rent	$105,522	$103,923	$105,568	$46	0.0%	$1,186.16
5160 Misc. Income	$206,802	$208,915	$221,272	$14,470	7.0%	$2,486.20
5170 Payroll - Management	$30,874	$32,960	$33,219	$2,345	7.6%	$373.25
5180 Payroll - Leasing	$104,583	$105,151	$105,793	$1,210	1.2%	$1,188.69
5190 Payroll - Maintenance	$215,533	$226,783	$230,425	$14,893	6.9%	$2,589.05
5200 Payroll Taxes & Benefits	$132,479	$125,897	$133,028	$549	0.4%	$1,494.70
5210 Repairs - Plumbing	$182,051	$168,794	$176,230	-$5,821	-3.2%	$1,980.11

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Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5410 Resident Events	$138,865	$143,660	$152,560	$13,695	9.9%	$1,714.15
5420 Office Supplies	$44,409	$46,293	$48,876	$4,467	10.1%	$549.16
5430 Legal & Professional	$172,890	$173,392	$183,506	$10,616	6.1%	$2,061.87
5440 Accounting & Audit	$137,895	$147,850	$155,404	$17,509	12.7%	$1,746.12
5450 Licenses & Permits	$95,803	$98,445	$102,853	$7,050	7.4%	$1,155.65
5460 Management Fee	$151,473	$155,993	$166,067	$14,594	9.6%	$1,865.92
5470 Property Insurance	$213,243	$225,598	$239,669	$26,426	12.4%	$2,692.91
5480 Real Estate Taxes	$233,305	$241,589	$251,364	$18,058	7.7%	$2,824.31
5490 Asset Management Fee	$96,764	$102,770	$109,194	$12,430	12.8%	$1,226.90
5500 Replacement Reserves	$41,883	$40,950	$41,068	-$815	-1.9%	$461.43
5510 Roof Repairs	$73,795	$76,749	$79,926	$6,131	8.3%	$898.05
5520 Parking Lot Repairs	$36,574	$36,396	$37,702	$1,128	3.1%	$423.62
5530 Signage	$215,491	$225,109	$234,131	$18,641	8.7%	$2,630.69
5540 Tenant Improvements	$99,701	$101,631	$107,269	$7,569	7.6%	$1,205.27
5550 Leasing Commissions	$137,703	$127,770	$131,790	-$5,913	-4.3%	$1,480.79
5000 Gross Potential Rent	$240,312	$231,441	$243,463	$3,151	1.3%	$2,735.54
5010 Loss to Lease	$90,514	$91,740	$91,914	$1,400	1.5%	$1,032.74
5020 Vacancy Loss	$165,001	$152,322	$159,168	-$5,833	-3.5%	$1,788.41
5030 Concessions	$224,178	$213,821	$215,644	-$8,534	-3.8%	$2,422.97
5040 Bad Debt	$231,094	$239,091	$250,369	$19,275	8.3%	$2,813.14
5050 Late Fees	$90,316	$85,337	$85,532	-$4,784	-5.3%	$961.04
5060 Utility Reimbursements	$30,860	$28,411	$28,740	-$2,120	-6.9%	$322.92
5070 Parking Income	$164,901	$168,724	$175,223	$10,322	6.3%	$1,968.80
5080 Application Fees	$139,767	$150,395	$157,043	$17,277	12.4%	$1,764.53
5090 Pet Rent	$217,884	$225,454	$236,713	$18,829	8.6%	$2,659.70
5100 Laundry Income	$57,606	$59,756	$61,693	$4,087	7.1%	$693.18
5110 Cable/Internet Revenue	$109,036	$101,990	$106,390	-$2,646	-2.4%	$1,195.40
5120 CAM Reimbursements	$63,731	$68,828	$72,049	$8,318	13.1%	$809.54
5130 Tax Reimbursements	$77,663	$75,121	$79,258	$1,594	2.1%	$890.54
5140 Insurance Reimbursements	$252,920	$242,818	$257,431	$4,511	1.8%	$2,892.48
5150 Percentage Rent	$257,945	$244,462	$261,073	$3,127	1.2%	$2,933.40
5160 Misc. Income	$159,308	$162,255	$170,293	$10,985	6.9%	$1,913.40
5170 Payroll - Management	$63,990	$67,346	$67,636	$3,646	5.7%	$759.96
5180 Payroll - Leasing	$91,839	$84,654	$90,316	-$1,523	-1.7%	$1,014.79
5190 Payroll - Maintenance	$198,560	$212,492	$225,759	$27,199	13.7%	$2,536.61
5200 Payroll Taxes & Benefits	$107,826	$104,198	$109,060	$1,235	1.1%	$1,225.40
5210 Repairs - Plumbing	$51,258	$54,513	$58,070	$6,812	13.3%	$652.47
5220 Repairs - HVAC	$155,183	$149,544	$158,783	$3,600	2.3%	$1,784.08
5230 Repairs - Electrical	$249,223	$252,712	$264,081	$14,858	6.0%	$2,967.20
5240 Repairs - Appliances	$70,967	$72,249	$76,510	$5,544	7.8%	$859.67
5250 Painting & Decorating	$25,449	$25,959	$27,095	$1,647	6.5%	$304.44

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Income and Expense Review

Effective gross income for the trailing period was $305,000, representing a 5.3% increase over the prior year. Debt service coverage ratio was 6.62x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period.

Effective gross income for the trailing period was $109,000, representing a 7.9% increase over the prior year. The going-in capitalization rate of 5.17% reflects the in-place income and the stabilized occupancy assumption. Turn costs average $151,000 per home, and the in-house maintenance team handles most work orders within 9 days. Management fees are calculated at 5.7% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 29th business day. Turn costs average $370,000 per home, and the in-house maintenance team handles most work orders within 10 days. Service requests are tracked through a work-order system with an average completion time of 15 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Collections for the period were 93.5% of billed charges, with bad debt of 7.3% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Turn costs average $424,000 per home, and the in-house maintenance team handles most work orders within 31 days.

Income and Expense Review

Debt service coverage ratio was 6.18x on a trailing basis against a covenant minimum of 1.20x. Homes average 1,928 square feet with average monthly rent of $2,138. The going-in capitalization rate of 7.39% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $424,000, representing a 4.2% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 8.0% over the hold period. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Homes average 1,928 square feet with average monthly rent of $2,138. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.65x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.08% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $10,000, representing a 11.9% increase over the prior year.

Property Operations

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 90.9% of billed charges, with bad debt of 5.6% of gross potential income. Homes average 1,928 square feet with average monthly rent of $2,138.

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Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5240 Repairs - Appliances	$132,833	$131,141	$131,899	-$934	-0.7%	$1,482.01
5250 Painting & Decorating	$192,314	$204,068	$212,596	$20,281	10.5%	$2,388.71
5260 Flooring	$220,623	$209,815	$220,906	$284	0.1%	$2,482.09
5270 Make-Ready / Turnover	$234,944	$221,860	$223,397	-$11,547	-4.9%	$2,510.08
5280 Landscaping Contract	$175,378	$186,407	$197,341	$21,963	12.5%	$2,217.32
5290 Snow Removal	$179,741	$166,931	$171,432	-$8,308	-4.6%	$1,926.20
5300 Janitorial	$204,045	$190,436	$199,727	-$4,318	-2.1%	$2,244.12
5310 Pest Control	$170,201	$166,720	$175,963	$5,762	3.4%	$1,977.11
5320 Trash Removal	$51,301	$48,847	$51,906	$605	1.2%	$583.21
5330 Elevator Contract	$121,403	$118,936	$119,428	-$1,976	-1.6%	$1,341.88
5340 Fire & Life Safety	$88,219	$85,810	$87,044	-$1,175	-1.3%	$978.03
5350 Security	$201,384	$209,152	$219,538	$18,154	9.0%	$2,466.72
5360 Electricity - Common	$65,351	$68,761	$73,314	$7,963	12.2%	$823.75
5370 Gas - Common	$101,822	$106,209	$107,910	$6,088	6.0%	$1,212.47
5380 Water & Sewer	$16,800	$16,071	$16,331	-$469	-2.8%	$183.49
5390 Telephone/Internet	$137,244	$134,443	$140,806	$3,562	2.6%	$1,582.09
5400 Advertising	$67,122	$67,952	$72,056	$4,934	7.4%	$809.61
5410 Resident Events	$50,770	$54,103	$55,271	$4,501	8.9%	$621.03
5420 Office Supplies	$128,557	$126,147	$133,328	$4,770	3.7%	$1,498.06
5430 Legal & Professional	$185,560	$179,057	$186,566	$1,006	0.5%	$2,096.24
5440 Accounting & Audit	$210,474	$212,625	$213,681	$3,207	1.5%	$2,400.91
5450 Licenses & Permits	$255,044	$266,134	$271,292	$16,248	6.4%	$3,048.22
5460 Management Fee	$54,375	$58,348	$62,267	$7,893	14.5%	$699.63
5470 Property Insurance	$17,080	$15,818	$16,210	-$870	-5.1%	$182.13
5480 Real Estate Taxes	$109,098	$101,075	$102,064	-$7,034	-6.4%	$1,146.79
5490 Asset Management Fee	$21,855	$21,004	$22,409	$554	2.5%	$251.79
5500 Replacement Reserves	$62,031	$57,772	$59,814	-$2,217	-3.6%	$672.06
5510 Roof Repairs	$128,690	$121,914	$124,104	-$4,586	-3.6%	$1,394.43
5520 Parking Lot Repairs	$132,749	$130,193	$133,667	$918	0.7%	$1,501.87
5530 Signage	$258,937	$271,624	$289,424	$30,487	11.8%	$3,251.95
5540 Tenant Improvements	$114,801	$118,639	$124,121	$9,320	8.1%	$1,394.62
5550 Leasing Commissions	$125,066	$133,349	$134,929	$9,863	7.9%	$1,516.05
5000 Gross Potential Rent	$30,935	$31,050	$31,574	$639	2.1%	$354.76
5010 Loss to Lease	$253,556	$247,158	$257,035	$3,479	1.4%	$2,888.03
5020 Vacancy Loss	$139,865	$144,274	$152,443	$12,578	9.0%	$1,712.84
5030 Concessions	$244,726	$263,569	$263,897	$19,171	7.8%	$2,965.13
5040 Bad Debt	$203,180	$209,022	$211,128	$7,948	3.9%	$2,372.22
5050 Late Fees	$197,376	$195,136	$205,490	$8,115	4.1%	$2,308.88
5060 Utility Reimbursements	$119,169	$109,909	$111,225	-$7,944	-6.7%	$1,249.72
5070 Parking Income	$202,552	$197,271	$200,235	-$2,317	-1.1%	$2,249.83

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Income and Expense Review

Homes average 1,928 square feet with average monthly rent of $2,138. Debt service coverage ratio was 6.57x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $48,000 or approximately 45.81 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $255,000 per home, and the in-house maintenance team handles most work orders within 39 days.

Homes average 1,928 square feet with average monthly rent of $2,138. Debt service coverage ratio was 5.16x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. Operating expenses totaled $390,000 or approximately 35.47 per square foot, with real estate taxes representing the largest line item.

Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 95.0% of billed charges, with bad debt of 3.5% of gross potential income. Turn costs average $163,000 per home, and the in-house maintenance team handles most work orders within 28 days. The manager completes a monthly walk of the property and submits a variance report to the owner by the 11th business day. Service requests are tracked through a work-order system with an average completion time of 13 hours.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $388,000 per home, and the in-house maintenance team handles most work orders within 39 days. Service requests are tracked through a work-order system with an average completion time of 6 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 31 additional team members.

Income and Expense Review

Turn costs average $19,000 per home, and the in-house maintenance team handles most work orders within 42 days. Homes average 1,928 square feet with average monthly rent of $2,138. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $41,000, representing a 11.1% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period.

Management fees are calculated at 3.2% of collected revenue and are included in operating expenses. Operating expenses totaled $287,000 or approximately 10.67 per square foot, with real estate taxes representing the largest line item. Turn costs average $110,000 per home, and the in-house maintenance team handles most work orders within 13 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Leasing and Marketing

Homes average 1,928 square feet with average monthly rent of $2,138. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 14 hours. Collections for the period were 89.7% of billed charges, with bad debt of 3.1% of gross potential income.

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Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5110 Cable/Internet Revenue	$77,988	$76,257	$79,769	$1,782	2.3%	$896.29
5120 CAM Reimbursements	$169,312	$157,746	$165,912	-$3,400	-2.0%	$1,864.18
5130 Tax Reimbursements	$87,132	$92,502	$93,417	$6,284	7.2%	$1,049.63
5140 Insurance Reimbursements	$105,792	$113,591	$117,748	$11,956	11.3%	$1,323.01
5150 Percentage Rent	$11,887	$11,943	$12,452	$565	4.7%	$139.91
5160 Misc. Income	$225,692	$219,982	$235,117	$9,425	4.2%	$2,641.76
5170 Payroll - Management	$65,653	$67,003	$68,630	$2,977	4.5%	$771.13
5180 Payroll - Leasing	$137,188	$131,392	$138,520	$1,332	1.0%	$1,556.40
5190 Payroll - Maintenance	$101,441	$102,237	$103,802	$2,361	2.3%	$1,166.31
5200 Payroll Taxes & Benefits	$211,481	$220,493	$234,730	$23,248	11.0%	$2,637.41
5210 Repairs - Plumbing	$115,714	$115,998	$116,073	$359	0.3%	$1,304.19
5220 Repairs - HVAC	$202,211	$198,425	$204,299	$2,089	1.0%	$2,295.50
5230 Repairs - Electrical	$84,797	$85,898	$88,489	$3,692	4.4%	$994.26
5240 Repairs - Appliances	$174,498	$173,567	$182,853	$8,355	4.8%	$2,054.53
5250 Painting & Decorating	$16,294	$16,821	$17,804	$1,510	9.3%	$200.04
5260 Flooring	$100,547	$105,159	$106,721	$6,174	6.1%	$1,199.11
5270 Make-Ready / Turnover	$258,774	$264,180	$269,099	$10,325	4.0%	$3,023.59
5280 Landscaping Contract	$51,399	$52,777	$56,327	$4,929	9.6%	$632.89
5290 Snow Removal	$12,178	$11,473	$11,650	-$528	-4.3%	$130.90
5300 Janitorial	$234,635	$234,919	$236,462	$1,828	0.8%	$2,656.88
5310 Pest Control	$236,958	$244,680	$259,086	$22,128	9.3%	$2,911.07
5320 Trash Removal	$248,128	$249,909	$260,585	$12,457	5.0%	$2,927.92
5330 Elevator Contract	$166,160	$173,204	$182,066	$15,907	9.6%	$2,045.69
5340 Fire & Life Safety	$196,898	$184,548	$197,075	$176	0.1%	$2,214.32
5350 Security	$84,087	$80,768	$85,862	$1,774	2.1%	$964.74
5360 Electricity - Common	$90,446	$94,939	$95,444	$4,998	5.5%	$1,072.40
5370 Gas - Common	$83,551	$84,623	$89,052	$5,501	6.6%	$1,000.58
5380 Water & Sewer	$221,023	$232,057	$247,658	$26,635	12.1%	$2,782.67
5390 Telephone/Internet	$156,657	$145,548	$146,711	-$9,946	-6.3%	$1,648.44
5400 Advertising	$141,960	$144,139	$152,343	$10,383	7.3%	$1,711.72
5410 Resident Events	$69,884	$73,341	$75,453	$5,569	8.0%	$847.79
5420 Office Supplies	$26,629	$27,338	$28,665	$2,036	7.6%	$322.08
5430 Legal & Professional	$106,109	$97,991	$100,220	-$5,889	-5.6%	$1,126.06
5440 Accounting & Audit	$184,299	$181,040	$191,985	$7,686	4.2%	$2,157.14
5450 Licenses & Permits	$140,025	$139,184	$141,393	$1,367	1.0%	$1,588.68
5460 Management Fee	$225,082	$225,477	$238,738	$13,657	6.1%	$2,682.45
5470 Property Insurance	$192,172	$184,943	$187,993	-$4,179	-2.2%	$2,112.28
5480 Real Estate Taxes	$228,434	$232,492	$240,639	$12,205	5.3%	$2,703.81
5490 Asset Management Fee	$106,317	$100,916	$105,686	-$630	-0.6%	$1,187.49
5500 Replacement Reserves	$216,025	$218,805	$223,506	$7,481	3.5%	$2,511.31
5510 Roof Repairs	$242,004	$227,925	$231,344	-$10,661	-4.4%	$2,599.37

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Operating Performance

Management fees are calculated at 5.1% of collected revenue and are included in operating expenses. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,928 square feet with average monthly rent of $2,138. Turn costs average $469,000 per home, and the in-house maintenance team handles most work orders within 27 days.

Homes average 1,928 square feet with average monthly rent of $2,138. Turn costs average $107,000 per home, and the in-house maintenance team handles most work orders within 30 days. Debt service coverage ratio was 7.17x on a trailing basis against a covenant minimum of 1.20x. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Operating expenses totaled $330,000 or approximately 28.15 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 89.1% of billed charges, with bad debt of 7.9% of gross potential income. Homes average 1,928 square feet with average monthly rent of $2,138. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 23th business day.

Homes average 1,928 square feet with average monthly rent of $2,138. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 26 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 32th business day. Service requests are tracked through a work-order system with an average completion time of 8 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Operating Performance

Management fees are calculated at 7.7% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.73% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.31x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period. Operating expenses totaled $96,000 or approximately 33.54 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $297,000, representing a 2.4% increase over the prior year.

Debt service coverage ratio was 6.73x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $371,000, representing a 12.4% increase over the prior year. Homes average 1,928 square feet with average monthly rent of $2,138. Management fees are calculated at 3.9% of collected revenue and are included in operating expenses. Turn costs average $107,000 per home, and the in-house maintenance team handles most work orders within 2 days. Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period.

Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day. Turn costs average $138,000 per home, and the in-house maintenance team handles most work orders within 35 days. Service requests are tracked through a work-order system with an average completion time of 37 hours. Collections for the period were 90.9% of billed charges, with bad debt of 4.3% of gross potential income.

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Summary and Notes

Financial Analysis

Operating expenses totaled $337,000 or approximately 25.31 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.18% reflects the in-place income and the stabilized occupancy assumption. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.57x on a trailing basis against a covenant minimum of 1.20x.

Operating expenses totaled $381,000 or approximately 18.03 per square foot, with real estate taxes representing the largest line item. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Homes average 1,928 square feet with average monthly rent of $2,138. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.35% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $214,000, representing a 8.3% increase over the prior year.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 39 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 34 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 18th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Service requests are tracked through a work-order system with an average completion time of 44 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 94.4% of billed charges, with bad debt of 7.5% of gross potential income. Turn costs average $133,000 per home, and the in-house maintenance team handles most work orders within 21 days. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 34 additional team members.

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